PORTFOLIO CONSTRUCTION AND CAPITAL MARKET EXPECTATIONS

Learning Outcomes

- explain the specification of asset classes in relation to asset allocation
- describe the principles of portfolio construction and the role of asset allocation in relation to the IPS

Once the IPS has been compiled, the investment manager can construct a suitable portfolio. Strategic asset allocation is a traditional focus of the first steps in portfolio construction. The strategic asset allocation is stated in terms of percentage allocations to asset classes. An **asset class** is a category of assets that have similar characteristics, attributes, and risk–return relationships. The **strategic asset allocation** (SAA) is the set of exposures to IPS-permissible asset classes that is expected to achieve the client's long-term objectives given the client's risk profile and investment constraints. An SAA could include a policy of hedging portfolio risks not explicitly covered by asset class weights. The obvious examples are hedge ratios for foreign currency exposure, or the management of interest rate risk resulting from asset-liability mismatch, and the hedging of inflation risk. So-called "overlay" portfolios of derivatives are often used for this purpose.

The focus on the SAA is the result of a number of important investment principles. One principle is that a portfolio's systematic risk accounts for most of its change in value over the long term. **Systematic risk** is risk related to the economic system (e.g., risk related to business cycle) that cannot be eliminated by holding a diversified portfolio. This risk is different from **nonsystematic risk**, defined as the unique risks of particular assets, which may be avoided by holding other assets with offsetting risks. A second principle is that the returns to groups of similar assets (e.g., long-term debt claims) predictably reflect exposures to certain sets of systematic factors (e.g., for the debt claims, unexpected changes in the interest rate). Thus, the SAA is a means of providing the investor with exposure to the systematic risks of asset classes in proportions that meet the risk and return objectives.

The process of formulating a strategic asset allocation is based on the IPS, already discussed, and capital market expectations.

Capital Market Expectations

Capital market expectations are the investor's expectations concerning the risk and return prospects of asset classes, however broadly or narrowly the investor defines those asset classes. When associated with the client's investment objectives, the result is the strategic asset allocation that is expected to allow the client to achieve his investment objectives (at least under normal capital market conditions).

Traditionally, capital market expectations are quantified in terms of asset class expected returns, standard deviation of returns, and correlations among pairs of asset classes. Formally, the expected return of an asset class consists of the risk-free rate and one or more risk premium(s) associated with the asset class. Expected returns are in practice developed in a variety of ways, including the use of historical estimates, economic analysis, and various kinds of valuation models. Standard deviations and correlation estimates are frequently based on historical data and risk models.

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